

Daily Need to Know

Monday, 24 August 2026 · Pre-market brief

Coverage window, capture method and edition notes are at the back, in section 16.

1 Market snapshot — the close, and where it is trading now

ASSET	LAST	CHANGE	NOTE
CASH EQUITIES — FRIDAY 21 AUG SETTLE, ~49 HOURS OLD			
S&P 500	7,674.37	▲ +0.43%	Range 7,660.06–7,697.11; closed at just 38.6% of it. Up day, soft finish. 1.82% below the 52-week high.
Nasdaq Composite	26,180.45	▲ +0.43%	Volume 0.92× its 10-day average — the only major index that traded below normal. Closed mid-range at 59.5%.
Dow Jones	53,277.01	▲ +0.98%	+517.80 points, best of the majors, closed at 86.6% of range. Opened on its low and never traded there again.
Russell 2000	3,017.87	▲ +0.85%	Closed at 91.5% of range — the strongest finish on the board. Small caps led, semis did not.
Philadelphia SOX	11,740.37	▼ −0.51%	The number of the day. Only major index down; closed at 34.8% of range. Sits 16.1 points above a 20% bear market from its 52-week high.
EQUITY FUTURES — FRIDAY 21 AUG GLOBEX SETTLE, ~48 HOURS OLD · GLOBEX HAD NOT REOPENED AT CAPTURE			
ES (E-mini S&P)	7,691.25	▲ +0.38%	Settled +16.88 over cash — a normal basis, no weekend gap information. Globex reopens 06:00 GMT+8, 53 min after capture.
NQ (E-mini Nasdaq)	29,387.75	▲ +0.30%	Lagged ES by 8bp on Friday. Session range 29,220–29,539 was the widest of the four in percentage terms.
YM (E-mini Dow)	53,353.00	▲ +0.95%	+504 points, tracking cash almost exactly. Confirms the Dow move was real breadth, not a settlement artefact.
RTY (E-mini Russell)	3,022.10	▲ +0.76%	Settled 4.23 above cash. Small-cap futures agreed with the cash tape rather than fading it.
TREASURY YIELDS — FRIDAY 21 AUG SETTLE			
US 10-year	4.736%	▲ +2.8bp	Pinned at 96.0% of Hedgeye's 4.64–4.74% band. Four-tenths of a basis point from the ceiling.
US 30-year	5.276%	▲ +2.6bp	Within 6bp of a 19-year high. The entire 19 Aug buyback rally has been given back and then some.
US 5-year	4.428%	▲ +3.4bp	Belly sold harder than the long end — the opposite of what a Treasury buyback aimed at 10s–30s was meant to produce.
US 2-year	4.240%	▲ +5.0bp	Worst point on the curve. Directly captured, not inferred. 2s10s flattened to +49.6bp .
13-week bill	3.808%	▲ +1.1bp	3m10y at +92.8bp . The front end barely moved while everything behind it sold — a duration event, not a policy repricing.
COMMODITIES — FRIDAY 21 AUG SETTLE			
WTI crude	\$87.06	▲ +0.26%	Second consecutive weekly gain of roughly 5%. At 87.1% of Hedgeye's band, 86¢ from the ceiling.
Brent crude	\$94.39	▲ +0.65%	Brent–WTI spread \$7.33 . Independently confirmed to the cent by Newsquawk's Friday settle wrap.
Natural gas	\$2.773	▲ +1.46%	Mid-band at 52.8%, TREND still bearish. The one energy contract not being repriced by the Gulf.
RBOB gasoline	\$3.0468	▲ +1.25%	Outpaced crude. US pump average \$4.11/gal, +97¢ year-on-year — the political transmission channel.
Gold (spot)	\$4,603.01	▲ +1.87%	At 95.3% of a band whose ceiling Hedgeye raised 67 points on Friday. \$14 from the top of a range that just moved up.
Silver (spot)	\$68.94	▲ +1.30%	70.6% of band; band shifted up a full dollar at both ends. Still 43.3% below its 52-week high.
Copper (spot)	\$6.5366	▲ +1.48%	Only 31.9% of band despite the move up — because Hedgeye lifted the floor 11¢. The band outran the metal.
FX — REOPENED 05:00 GMT+8; ~7 MINUTES OF THIN TRADING AT CAPTURE			
DX	98.839	◆ 0.00%	Unchanged on seven minutes of trade, so read the level not the change: 35.9% of band, TREND bullish , near post-intervention lows.
USD/JPY	158.969	◆ −0.00%	Range 158.953–158.971 confirms a near-dead tape. BoJ September hike priced above 75%; the level is the risk, not the tick.

USD/KRW	1,385.29	▼ -0.63%	Won firmer, but the 1,379.90-1,393.94 range is Friday's, not this morning's. Treat the change as Friday's, flagged in §18.
VOLATILITY & CRYPTO			
VIX	15.14	▼ -5.49%	Fell hard into monthly OPEX. Mid-band at 47.0% — but Hedgeye raised the ceiling 0.35 while the index fell.
Bitcoin	\$77,655.38	▲ +0.77%	The only genuinely live row in this table. Held Friday's breakout through the weekend. Still 38.5% below its 52-week high.

Colour key: ▲ green = higher, ▼ red = lower, ◆ amber = flat. For yields, the arrow reflects direction of the yield, and yields rising is shown red as a risk direction. Reconciliation: index arithmetic is self-consistent throughout — S&P 7,674.37 less 33.21 gives a 7,641.16 prior close and a +0.4346% change, matching to four decimals; the same identity holds for the Nasdaq, Dow, Russell, SOX and VIX. Futures bases against cash are all normal. Cross-source detail and the single-source caveat are in §18.

TL;DR

Friday was a rotation, and the rotation is now a solvency-of-narrative question. The Dow rose 0.98% and the Russell 0.85%, both closing near their highs, while the semiconductor index fell 0.51% and closed near its low. The SOX now sits **16.1 points — 0.14% — above a 20% bear market** from its 52-week high, at a moment when the S&P 500 is 1.82% off its own. That gap is the market.

Two sovereign escalations landed over the weekend and neither has been priced. The US imposed 50% tariffs on roughly \$20bn of Canadian goods effective Saturday, and Ottawa has promised dollar-for-dollar retaliation from 8 September. Separately, Washington has said its Iran sanctions package — described by the President as "economic D-Day" — will be announced **today**. Globex had not reopened when this brief was captured, so no price in it reflects either.

Hedgeye's most valuable tell is not a level, it is a band. The S&P risk range widened from 163 points to 225 while the Nasdaq band shifted down 290 points at the floor — the two moved in opposite directions on the same night. Gold sits at 95.3% of a ceiling Hedgeye just raised 67 points, and Keith McCullough's stated rule is not to sell the gold, euro and yen longs until they reach the tops of their ranges. Gold is there.

Watch the KOSPI at 08:30 GMT+8. McCullough said explicitly that a move above 7,000 could produce a significant semiconductor move into Nvidia's Wednesday earnings. It closed Friday at **6,912.96** — 87 points, or 1.26%, short.

2 The big picture — what it means

1. The index is fine and the market underneath it is not. The S&P 500 finished Friday 1.82% below its 52-week high. Beneath that surface: Meta is 30.5% off its high, Broadcom 25.6%, AMD 19.1%, Applied Materials 33.4%, Micron 23.0%, Western Digital 42.6%, Oracle 57.6%. Five of the seven largest US companies are between 9% and 31% below their own highs, and the index is within 2% of its. That arithmetic only works because the losses have rotated rather than aggregated. It has held for eight weeks. It is the single assumption most worth stress-testing this week.

2. The bond market rejected an explicit government attempt to lower long yields, and did so inside 48 hours. On 19 August the Treasury more than doubled its long-end buyback operations to at least \$4bn apiece, targeting the 10-20 and 20-30 year sectors from 9 September. The 10-year fell 6bp on the announcement and the 30-year 9bp. By Friday's close the 10-year was at 4.736% and the 30-year at 5.276% — both higher than before the intervention was announced. Secretary Bessent said on 20 August that \$4bn is a floor, not a cap. The market has now told him what it thinks of the floor. Critics call it yield curve control; Bessent says it is liquidity provision. The relevant fact is that it did not work.

3. The data are not weak, which is precisely the problem. S&P Global's flash composite PMI printed **56.0** against a 54.0 consensus — the strongest reading since April 2022. Services came in at 56.8 versus 54.0 expected, a 20-month high, and the employment component reached its best level since January 2025. S&P Global's own read is that the survey points to Q3 growth approaching 3.0% annualised against 1.5% in Q2. In an economy where three FOMC members dissented in July in favour of an immediate **hike**, a 56.0 composite is not a relief. It is the case for the dissenters.

4. Manufacturing went the other way, and that is where the semis sit. The same release put manufacturing at 53.2 against 53.9 expected — a five-month low — with flash factory output at 51.9, a 13-month low. A services-led beat with a soft factory component is a bad combination for the longest-duration equity in the index. No source has explicitly connected the two, and this brief does not assert the link; it notes only that the divergence in the survey and the divergence in the tape pointed the same way on the same day.

5. The semiconductor drawdown was mechanical before it was fundamental. The proximate causes are documented and none of them is a demand miss. SK Hynix posted record profit in late July and still fell 19% in Seoul on a consensus miss. A leveraged AI fund running the consensus long-infrastructure, short-software book went from roughly \$45bn to \$10bn in weeks, and its listed positions were sold as a block. The SOX then fell about 5% on 18 August, the day the 30-year traded near 5.33%. Friday added de-risking into earnings: Marvell fell 6% ahead of its 27 August print, Teradyne 4% on a Baird downgrade. The bubble argument has moved from whether demand is real to who earns a return on it.

6. Positioning has moved decisively long, on process rather than on view. McCullough took his long-only account to its maximum 30 positions and Real-Time Alerts to 12 longs against a single short — by his own description approximately as long as he has been since 2021. His stated reasoning was not a forecast: the market had corrected only about 2% from its high, the volatility regime remained in what he calls the investable bucket, and gamma was positive into monthly expiry. That is a systematic response to a signal, and it deserves to be read as one. It is also a large bet placed immediately before an Nvidia print, a core PCE release, a first Jackson Hole keynote from a new Fed Chair, and an Iran sanctions announcement.

7. The weekend added two things the tape has never seen. US-Canada trade talks collapsed late Friday; 50% tariffs on roughly \$20bn of Canadian goods took effect Saturday, and Prime Minister Carney has promised dollar-for-dollar retaliation from 8 September concentrated in steel, dairy, appliances, agricultural equipment, pulp and paper and electronics. Separately, Bloomberg reported on Saturday that Nvidia has told its largest customers AI server prices will rise more than 15% in many cases on memory costs, for systems shipping early next year. Reuters could not immediately verify it and Nvidia did not comment. If it is right, it is simultaneously bullish memory, bearish hyperscaler capex efficiency, and a live gross-margin question three days before Nvidia reports.

3 Rates, currencies & commodities

- **The curve flattened on a hawkish impulse.** The 2-year rose 5.0bp, the 5-year 3.4bp, the 10-year 2.8bp and the 30-year 2.6bp. Selling concentrated at the front is a growth-and-inflation repricing, not a term-premium event — and it is the opposite of what a Treasury operation aimed at 10s-30s was designed to deliver. 2s10s closed at +49.6bp; McCullough had it "+50bps wide" on Thursday morning, so the steepener he wants Bessent to need has gone precisely nowhere.
- **Bond volatility is not confirming the stress.** The MOVE index closed at **73.40**, up a fifth of a point, and has a 52-week high of 115.02. A 30-year at a 19-year high with implied vol in the low 70s says the market treats the level as structural rather than as an accident waiting to happen. That is either complacency or conviction; it is not neutral.
- **The dollar is the tell.** DXY at 98.839 sits 35.9% through a band Hedgeye marks **bearish**, and the dollar finished last week lower despite yields backing up. Higher yields plus a weaker currency is the signature of a market pricing policy risk rather than growth — and it is exactly the configuration Bloomberg flagged when it argued the dollar risks becoming the biggest loser from the buyback programme.
- **Gold has done its job and is now at its own stop.** Spot rose 1.87% to \$4,603.01, and Hedgeye lifted the band ceiling from 4,550 to 4,617 — a 67-point raise, the largest single band move on the sheet. Gold sits \$14 below the new ceiling at 95.3% of range. McCullough's instruction was explicit: do not sell gold, euros or yen until they reach the tops of their published ranges. On the published numbers, gold has arrived.
- **Copper rose and got weaker on the signal.** Spot gained 1.48% to \$6.5366, yet band position *fell* to 31.9% because Hedgeye raised the floor 11¢ to 6.46 while trimming the ceiling a cent. The band compressed from 36¢ wide to 24¢. A metal moving up inside a rapidly narrowing range is a setup that resolves quickly in one direction or the other.
- **Crude is a geopolitical instrument now, not a cyclical one.** WTI \$87.06 and Brent \$94.39, both confirmed independently by Newsquawk's settle wrap, after a second consecutive weekly gain near 5%. Hormuz transits are running at roughly 20% of the pre-war average and the IEA had 8.3 mb/d of Gulf production shut in during July. War-risk insurance on a \$100m tanker has gone from about \$250,000 pre-war to \$3-10m. WTI at 87.1% of its band, 86¢ from the ceiling, with a sanctions announcement due today, is not a position that stays quiet.

4 Hedgeye — regime, risk ranges & the Quad path

Edition note. Hedgeye does not publish at weekends. The live risk-range set is the **Friday 21 August Early Look**, "A Parable Of An Old Fisherman", by **Sam Rahman**, published 07:36 EDT / 19:36 GMT+8 Friday. No newer set exists. Tonight's Early Look, due around 19:25-21:00 GMT+8, supersedes it. This is a genuine carry-forward, not a stale-band fallback.

MACRO DASHBOARD	READING AS AT FRIDAY 21 AUGUST
Quad path	Quad 1 approaching , per the Friday Macro Show — "with growth acceleration and Quad 1 approaching". Recent Early Look titles trace a shift through mid-August: "Deep #Quad3 Beliefs" (11 Aug) → "Don't Suck During #Quad1" (12 Aug) → "Quad Shift = ATHs" (14 Aug) → "#Quad3 Bonds, Oil, Consumer, etc." (18 Aug). No explicitly printed US Quad path notation was visible this run — see §18.
Inflation nowcast	August headline CPI +3.48% y/y , 1bp above the 13 August estimate and +12bp of sequential acceleration against the slowing July print. Attributed to Middle East energy disruption.
Volatility regime	Investable . Unchanged through Thursday's selling — "mathematically, NOTHING changed from a US Equity Vol Regime perspective". Gamma positive for SPX; 1-month realised expected to slice below 3-month post-OPEX.
Positioning	Long-only account at its maximum 30 positions ; Real-Time Alerts at 12 longs vs 1 short . Described as approximately the longest since the "raging Quad 1 or 2" period around 2021.
Largest short	US Dollar . Core currency longs: gold, euro, yen — all three flagged immediate-term TRADE overbought within bullish TRENDS on 20 August, with the euro the most extended.

Signal changes

Bitcoin flipped bearish to bullish TRADE and TREND. Silver confirmed a bullish TREND breakout. Major US semis — SanDisk, Micron, Marvell — regained bullish TRADE and TREND. **Brazil exited**, called the biggest macro mistake of the last three months on a roughly 4% loss.

Risk Range™ Signals — full table, with band movement versus Thursday 20 August

INSTRUMENT	RANGE	TREND	WHERE IT STANDS, AND HOW THE BAND MOVED
UST 10Y Yield	4.64–4.74%	Bullish	96.0% of band. Floor raised 3bp, ceiling unchanged; width compressed 13bp → 10bp. Four-tenths of a basis point from the ceiling of a tightening range.
High Yield (HYG)	79.41–79.83	Bullish	47.6%. Band narrowed on both sides, 0.51 → 0.42. Credit is the calmest thing on this sheet.
IG Corporate (LQD)	105.4–106.8	Bearish	37.1%. Ceiling clipped 0.10. The only fixed-income line Hedgeye marks bearish, and it closed down 0.13%.
S&P 500	7,610–7,835	Bullish	28.6%. Band widened sharply: floor –42, ceiling +20, width 163 → 225 points . More expected volatility, on a day VIX fell 5.5%.
Nasdaq Composite	25,813–26,798	Bullish	37.3%. Band shifted down: floor –290, ceiling –53, width 748 → 985. The Nasdaq band moved down while the S&P ceiling moved up — the key divergence on the sheet.
Russell 2000	2,976–3,073	Bullish	43.2%. Whole band shifted down ~13 points, width near-unchanged. Small caps rallied into a band that stepped away from them.
Health Care (XLV)	168–176	Bullish	82.8% — the most extended equity line. Band tightened 10 → 8. The core long is running out of published room.
Equal Weight (RSP)	219.00–225.00	Bullish	44.5%. The only band unchanged at both ends. Breadth is the one thing Hedgeye did not revise.
Tech-Software (IGV)	99.00–107.00	Bullish	Ceiling raised 106 → 107. Not captured this run — IGV is outside the capture universe, so no band position is computed. Logged in \$18.
Volatility (VIX)	13.90–16.54	Bearish	47.0%. Band widened 2.20 → 2.64, ceiling +0.35. McCullough's stated downside of 13.90 pairs with new all-time SPX highs of 7,835.
US Dollar (DXY)	98.24–99.91	Bearish	35.9%. Band shifted down at both ends. The largest short in the book, sitting comfortably below mid-range.
Crude Oil (WTIC)	81.25–87.92	Bullish	87.1%. Band tightened 7.75 → 6.67, floor +0.30, ceiling –0.78. Crude is pressing a ceiling that came down to meet it.
Natural Gas	2.62–2.91	Bearish	52.8%. Band shifted up ~5¢ and tightened. Mid-range and unremarkable — the only quiet commodity here.
Gold (spot)	4,322–4,617	Bullish	95.3%. Ceiling raised +67 , floor +18, width 246 → 295 — the largest band move on the sheet. \$14 from the top.
Copper (spot)	6.46–6.70	Bullish	31.9%. Floor raised 11¢, width collapsed 0.36 → 0.24. Copper rose 1.48% and its band position <i>fell</i> .
Silver (spot)	64–71	Bullish	70.6%. Band shifted up at both ends and widened 6 → 7. Confirmed bullish TREND breakout on Friday morning.

Band positions are measured on the series Hedgeye names: spot for gold, silver and copper (TVC:GOLD, TVC:SILVER, OANDA:XCUUSD), continuous contract for crude and natural gas (NYMEX:CL1!, NYMEX:NG1!). Measuring gold on futures instead of spot would have put it at 88.7% of band rather than 95.3%; the gold basis alone is \$77.60, or 1.7%, this morning.

What Keith actually said — direct quotations, with publication and GMT+8 timestamps.

- On the KOSPI and semis, *KM's Top 3 Things*, Friday 19:09 GMT+8: **"despite SPY correcting (only -2% from its all-time highs) for the 3rd day in 4 on decelerating volume this week, Dr. KOSPI stayed in the green AFTER breaking out above @Hedgeye TRADE Signal Level of 6697; we did score some renewed Bullish TRADE and TREND Signals in major US Semis again yesterday ... including MU and MRVL which led SPX on the positive side"**
- On gold and the dollar, same note: **"big time Bullish TRADE and TREND breakout continues to this morning with Gold up another +1.6% as the US Dollar gets smoked to post US government intervention/manipulation lows - reiterating Long Gold, Euros, and Yens vs. USD Short"**
- On the volatility regime, same note: **"yesterday we finally saw some panic-selling by people who don't have our process - it wasn't a day to do nothing (I went to 12 Longs and 1 Short in Real-Time Alerts and registered plenty of immediate-term TRADE #oversold signals across US Equities); mathematically, NOTHING changed from a US Equity Vol Regime perspective (SPX is in the Investable Bucket where I aggressively buy dips)"**
- On the Treasury, *Early Look* "Double MAX Macro!", Thursday 20 August 20:22 GMT+8: **"While I don't see the humility in manipulating markets for political gain, I am quite interested in observing how the latest attempt to bend and smooth God's gravity works out."**

- On what the Treasury Secretary actually needs, same note: **"remind him that he doesn't just need a Down Dollar to signal US economic (and stock market) acceleration, he needs a steepening Yield Curve."**
- From Friday's *Early Look* by Sam Rahman, 19:36 GMT+8, on holding two views at once: **"Many of today's investment decisions require holding two opposing thoughts and/or durations in your mind at the same time."**

The Friday Macro Show summary is an AI-enhanced transcript published by Hedgeye and carries its own error caveat; statements sourced from it are reported as attributed summary rather than as verbatim quotation, and are not placed inside quotation marks above.

5 Mag7 scoreboard

NAME	LAST	DAY	CAP	READ
Tesla	\$362.86	▲ +5.14%	\$1,433bn	Day's biggest large-cap move. Nevada approved Tesla robotaxis for Las Vegas with the largest allocation by a wide margin, up to 5,000 vehicles; the electric Semi got a European debut. Volume 39% above its three-month average. Still 27.3% below its 52-week high.
Alphabet	\$344.82	▲ +1.22%	\$4,200bn	Best of the mega-cap complex ex-Tesla. Offsetting note: Pershing Square's 13F showed a reduced position. 15.6% off its high — the widest gap among the four largest.
Meta	\$549.90	▲ +0.75%	\$1,401bn	Closed higher but is 30.5% below its 52-week high , by far the worst of the seven. A California trial in which four states seek up to \$1.4trn in consumer-protection and COPPA penalties is the live overhang.
Microsoft	\$483.24	▲ +0.43%	\$3,588bn	Exactly in line with the index. 12.7% off its high. The quietest name on the board and, on a week with this calendar, the most defensible position.
Amazon	\$258.63	▼ -0.57%	\$2,790bn	Down on a broad up-day. Capex is the issue: trailing twelve-month capital spending of roughly \$151bn now exceeds its entire operating cash flow.
Apple	\$309.35	▼ -0.63%	\$4,515bn	No identifiable catalyst found for the decline. 10.2% off its high. Second-largest company by capitalisation, and drifting.
Nvidia	\$214.72	▼ -0.98%	\$5,196bn	The week's fulcrum. Weakest of the seven into a Wednesday print. Hedgeye's risk range is roughly 213-230, TRADE ~212 and TREND ~205 — the stock closed \$1.72 above the bottom of its own range. Options are pricing a market-value swing of roughly \$313-316bn.

Capitalisations are TradingView's market_cap_basic field at the 05:07 GMT+8 capture and reflect Friday's settle. The seven together are worth roughly \$23.1trn; six of the seven are between 9% and 31% below their own 52-week highs.

6 Positioning & options

- **Friday was monthly options expiry**, and the VIX fell 5.49% to 15.14 through it. Hedgeye's expectation into the event was that one-month realised volatility would slice below three-month post-expiry, with SPX gamma positive — conditions that mechanically support equity flows. That is the technical scaffolding beneath the "buy the dip" call, and it partially expires with the expiry.
- **Financials carried the fear premium.** A 77% implied-volatility premium was cited in financials on Thursday, against which Capital One and JPMorgan were bought in Real-Time Alerts, JPMorgan specifically on the open. XLF closed Friday +0.93%. Buying elevated implied vol in the sector that led the tape the next day is the trade working as designed.
- **The consensus hedge fund book took real damage last week.** The most-consensus short healthcare basket ramped 6.4% on Wednesday and XLV rose 3.5% that day, described as one of its best sessions ever against XLK. XLV added a further 1.29% on Friday and now sits at 82.8% of its risk range. Short squeezes in crowded shorts are a positioning event, not a fundamental one, and they mean-revert.
- **Semis were de-risked deliberately into earnings, not sold on news.** Marvell fell 6% on Friday, attributed to institutional profit-taking ahead of its 27 August report; Teradyne fell 4% on a Baird downgrade to Neutral citing valuation and no major growth catalyst until 2028. Nvidia's own 0.98% decline came with no company-specific news. This is inventory reduction before an event, which cuts both ways on Wednesday night.
- **Crypto shorts were forcibly removed.** More than \$4bn of bearish crypto liquidations were recorded across two days around the 19-20 August breakout, and Bitcoin ran above \$77,000 by Friday for a weekly gain over 20%. Ether ETFs took \$189m on 19 August and \$219m on 20 August. Analysts quoted at the time put the requirement to sustain it at over \$500m a day of inflows; absent that, the move was shorts running out of shorts.
- **The single largest positioning fact is Hedgeye's own.** Maximum long-only exposure and 12-to-1 long-short in Real-Time Alerts is the most extended this process has been since around 2021. It was established explicitly on volatility and range signals rather than on a view, and it is now carrying into the densest event week of the quarter.

7 Sector rotation — leaders & laggards

SECTOR	ETF	LAST	DAY	OFF 52W HIGH	NOTE
Materials	XLB	53.54	▲ +2.14%	−1.11%	Best sector, and nearest its own high.
Health Care	XLV	174.62	▲ +1.29%	−1.12%	Second day of the squeeze. 82.8% of band.
Consumer Discretionary	XLY	118.02	▲ +1.15%	−5.59%	Tesla did much of this on its own.
Financials	XLF	57.48	▲ +0.93%	−1.58%	Rallied on a steeper-front curve day.
Consumer Staples	XLP	85.99	▲ +0.79%	−4.60%	Defensives up alongside cyclicals.
Communication Services	XLC	111.40	▲ +0.65%	−7.48%	Alphabet carried it; Meta's overhang caps it.
Industrials	XLI	180.25	▲ +0.27%	−4.22%	Lagged badly for a Dow-led session.
Technology	XLK	183.31	▲ +0.11%	−7.76%	Barely positive. Down over 3% on the week.
Real Estate	XLRE	45.08	◆ 0.00%	−2.96%	Literally unchanged, on a 45.08 close and a 44.93–45.26 range.
Energy	XLE	63.64	▼ −0.17%	−1.64%	Fell with crude up 0.26%. The disconnect worth watching.
Utilities	XLU	42.77	▼ −2.28%	−10.52%	Worst by a wide margin; closed 2¢ off its low.

- **Leaders.** Materials, health care, discretionary and financials — a cyclicals-and-squeeze combination, with 341 S&P constituents advancing and better than 62% of all US stocks higher at midday. This was a breadth day in the literal sense.
- **Laggards.** Utilities fell 2.28% and closed within two cents of the session low, on a day the 30-year sat near a 19-year high — the bond-proxy trade being repriced by the long end rather than by anything utility-specific. Utilities are now 10.5% below their 52-week high, the worst of the eleven.
- **The rotation that matters.** Technology added 0.11% while the S&P added 0.43% and the Dow 0.98%. Nine of eleven sectors beat technology. An index rising on ten sectors while its largest one stalls is a healthier tape than the reverse — but it is also the mechanism by which the SOX has arrived within 0.14% of a bear market without the index noticing.
- **Energy is the anomaly.** XLE fell 0.17% while WTI rose 0.26% and Brent 0.65%, in a week crude gained roughly 5% for the second time running. Equity investors are declining to pay for a barrel priced by a naval blockade. That is a rational discount, and it is also a coiled spring if the blockade eases.

8 Forward — futures & the week ahead

There is no overnight tape to report. This brief was captured at **05:07 GMT+8**, and Globex reopens at **06:00 GMT+8** — 53 minutes later. Every equity, futures, commodity and rate level above is Friday's settle. FX had been open for roughly seven minutes at capture and is not yet meaningful; Bitcoin, at \$77,655.38 and up 0.77%, is the only instrument in this document that has traded continuously through the weekend, and it has held Friday's breakout. The consequence is that the gap between Friday's settle and the reopen — normally the most useful number in a Monday edition — **cannot be reported this morning**. It will be the first thing to check when the screen refreshes: two days of tariff escalation, an Iran sanctions announcement due today, and a Bloomberg report on Nvidia server pricing all have to clear in a single opening print on thin volume.

DAY (GMT+8)	KEY EVENTS
Mon 24 Aug	US Treasury Secretary Bessent on Iran — the sanctions package the President has called "economic D-Day". Chicago Fed National Activity Index (July). Paramount Skydance meets the California Attorney General on the 12-state suit against the \$110bn Warner Bros. Discovery deal. Earnings: PDD, XPeng. <i>No first-tier US data.</i>
Tue 25 Aug	Conference Board consumer confidence (August; prior 90.8, no published consensus found). Case-Shiller and FHFA house prices. Richmond Fed manufacturing. Fed discount rate minutes. RBA and Riksbank minutes. German Ifo and final Q2 GDP. Earnings: Intuit, Zoom.
Wed 26 Aug	The heavy day. 20:30 GMT+8: July core PCE — consensus +0.2% m/m and 3.3% y/y unchanged , headline +0.1% m/m; forecasters are clustered at 0.22% m/m core, implying no wedge with July core CPI. Q2 GDP second estimate (advance was +1.5% annualised). Durable goods. Australian July CPI, consensus 3.3% y/y. 04:20 GMT+8 Thursday: NVIDIA Q2 FY27 — consensus revenue roughly \$92bn, up about 97% y/y, EPS around \$2.08. Also Salesforce, CrowdStrike, Synopsys, HP.
Thu 27 Aug	

Jackson Hole opens (27-29 Aug), theme "Financial Innovation: Implications for Payments and Policy". **Bank of Korea decision** — consensus split, some looking for +25bp to 3.00% after July's first hike in three and a half years. ECB July minutes, with a September hike reported to be under consideration. Initial claims (prior 206k). Chinese industrial profits. Earnings: Marvell, Workday, Autodesk, Best Buy, Dollar General.

Fri 28 Aug

22:00 GMT+8: Fed Chair Kevin Warsh's first Jackson Hole keynote, 19 days before the 16 September FOMC. Also 20:30: BLS preliminary annual benchmark payroll revision — last year's was -911k. Tokyo CPI (August, consensus ~1.9-2.0%). Japanese unemployment. Canadian Q2 GDP. Final UMich sentiment (preliminary was 51.0, with one-year inflation expectations at 4.3%). Sovereign rating reviews: Fitch on France, Moody's on Switzerland, S&P on Portugal.

Consensus figures could not be located for the Conference Board confidence index, durable goods, the Q2 GDP revision, initial claims or the payroll benchmark revision magnitude. The full Jackson Hole agenda is not public until the evening of 27 August; only Warsh, Vice Chair for Supervision Bowman and Governor Cook are confirmed speakers. Earnings dates are from a secondary calendar and are marked unconfirmed except Nvidia, which is confirmed for Wednesday 26 August after the US close.

9 Corporate news

- **Nvidia is raising AI server prices by more than 15%.** Bloomberg reported on Saturday 22 August that Nvidia's largest customers have been told prices will rise "more than 15% in many cases" on soaring memory costs, effective for systems shipping early next year, covering Vera Rubin and Grace Blackwell configurations. Original design manufacturers building for Microsoft, Google and Oracle have informed their customers. **Reuters could not immediately verify the report and Nvidia did not comment.** Three days before Nvidia reports, this is a live gross-margin question and a direct positive for memory.
- **Tesla won Las Vegas.** Nevada approved Tesla robotaxis for Las Vegas, awarding Tesla the largest share by a wide margin and covering up to 5,000 vehicles. The company separately confirmed a European debut for the electric Semi, alongside a reported 500-unit Class 8 Semi order from Swedish logistics firm Einride. The stock rose 5.14% on volume 39% above its three-month average.
- **Oracle bounced 3.10% off a genuine wound.** A report on 18 August of a six-month delay to Oracle's \$165bn "Project Jupiter" pipeline took the stock from roughly \$160 on 13 August down to the \$138-142 area. The wider picture: Q4 FY26 revenue \$19.2bn and OCI up 93%, an RPO backlog of \$638bn, but FY26 free cash flow of - \$23.7bn on \$55.7bn of capex, non-current debt of \$124.7bn, and an S&P downgrade to BBB-, one notch above junk. S&P and BofA both estimate roughly half that backlog is OpenAI, under a contract that does not begin until 2027. Oracle is 57.6% below its 52-week high.
- **Intel rejected \$100 again and closed at \$90.07, down 2.24%.** The overhang is the upsized share sale of roughly \$20bn that hit the tape on 18 August, plus continuing foundry losses. The stock is 36.7% below its 52-week high.
- **Moderna rose 17%** on positive Phase 3 data for its personalised mRNA cancer vaccine partnered with Merck — the largest single-stock move of the session in either direction, and a meaningful contributor to health care's second consecutive strong day. Ross Stores gained 8.1% on a Q2 beat; Robinhood added 11.1%, Coinbase 8.5% and Strategy 6.4% on the crypto move.
- **Paramount Skydance meets the California Attorney General today** on settling the 12-state antitrust suit against the \$110bn Warner Bros. Discovery takeover. Attorney General Bonta said on 20 August that any settlement would require "robust structural remedies" and that Paramount has so far been unwilling to offer them. The deal is on hold pending a March trial in federal court in Oakland. Reported by the New York Times; outcome unknown.
- **Anthropic may file its IPO prospectus publicly as soon as the end of August**, having filed confidentially on 1 June, with press reports pointing to an October Nasdaq listing led by Goldman Sachs, JPMorgan and Morgan Stanley. Reported Q2 revenue above \$11.5bn against \$787m a year earlier. All figures are as reported and none is confirmed by the company.

10 Macro data

- **S&P Global flash composite PMI, August: 56.0 actual against 54.0 consensus**, prior 54.5. The strongest reading since April 2022. This was Friday's headline release and the session's principal driver.
- **Flash services: 56.8 actual against 54.0 consensus**, prior 54.6 — a 20-month high. The employment index reached its highest since January 2025 and its second-highest in over four years, which S&P Global attributed to fading concern over tariffs and the Middle East conflict.
- **Flash manufacturing: 53.2 actual against 53.9 consensus**, prior 53.9 — a five-month low, with flash factory output at 51.9, a 13-month low. **The miss is the story:** the composite beat by two full points on services while the goods economy slipped, and it is the goods economy that the semiconductor complex is levered to.
- **Prices moderated on both sides of the survey.** Input costs rose at their slowest pace since February — that is, since the war began — and selling prices at their slowest since last November, though both remain elevated historically. Delivery times are still among the worst in four years.
- **Initial jobless claims, week ending 15 August: 206,000 actual against 210,000 consensus**, down 6,000, with the prior revised up from 209,000 to 212,000. Continuing claims 1,799,000 against 1,790,000 expected, up from 1,777,000. Labour demand is not cracking.

- **July FOMC minutes, released 19 August:** most participants supported holding, but several favoured an increase, consistent with the three hawkish dissents at the 29 July meeting — the most hawkish dissent since September 2016. Most judged higher rates would likely become necessary if inflation did not fall. That is the context in which a 56.0 composite PMI arrives.
- **The inflation backdrop into Wednesday.** July CPI came in at 3.4% y/y headline and 2.5% core; July PPI at 4.7% headline and 4.2% core, both decelerating. June core PCE was 3.3% y/y. Consensus for Wednesday's July core PCE is unchanged at 3.3%. Hedgeye's own August CPI nowcast, at +3.48% y/y, points the other way — 12bp of sequential acceleration.

11 Geopolitics

- **▲ The Iran sanctions package is announced today.** The President has promised the "most crushing" sanctions in history and framed it as an "economic D-Day"; Treasury Secretary Bessent speaks on it Monday. The 60-day deadline for a US-Iran deal expired on 17 August, and Washington says no talks are underway or scheduled. This is the first identifiable event risk of the week and it lands before the US session.
- **▼ Tehran's weekend response escalated the threat surface.** On Saturday Iran's foreign ministry called the sanctions "an assertion of extraterritorial sovereignty over every independent member state of the UN". On Sunday security chief Mohsen Rezaei said any state joining the sanctions would be treated as an enemy and that Tehran would target their interests; President Pezeshkian said Iran is in "a full-scale economic, military and security war". Attributed as stated; these are claims by Iranian officials, not established facts about intent.
- **◆ Hormuz is the number, and it is not improving.** Ship transits are running at roughly 20% of the pre-war average. The IEA recorded 8.3 mb/d of Gulf production shut in during July, with regional exports down 2.1 mb/d to about 15 mb/d. The US military says it has escorted over 660m barrels through the strait since early May, implying above 7 mb/d still exiting. Iran and Oman are reported "very close" on a temporary transit route, but Foreign Minister Araghchi conditions reopening on US compensation and nothing was concluded over the weekend.
- **▼ US-Canada trade talks collapsed and tariffs are already in force.** The US imposed 50% tariffs on roughly \$20bn of Canadian goods effective Saturday 22 August. Prime Minister Carney said Canada will retaliate "dollar for dollar" from 8 September, concentrated in steel, dairy, appliances, agricultural equipment, pulp and paper and electronics, and said last-minute changes to the US terms were "unfair, uneconomic, and called into question the reliability of any deal". This is the largest unpriced item on the board this morning.
- **◆ The tariff architecture itself is under legal challenge.** The Supreme Court struck down the IEEPA tariffs on 20 February 2026. The administration replaced them on 23 July with Section 301 "forced labour" tariffs — 10% for countries with forced-labour import prohibitions on the books, 12.5% for those without — covering some 60 economies and around 99.4% of US trade. Twenty-five states are suing. Section 301 is generally viewed as more durable than IEEPA, but the matter is unresolved.
- **▼ Ukraine.** Ukrainian drones struck a logistics centre at Orenburg on Sunday and hit a radar station and an uncrewed-vessel site in occupied Crimea; a Russian attack drone hit a passenger train in Odesa Oblast. No negotiation breakthrough and no market-moving headline.
- **◆ China and Taiwan produced nothing new over the weekend,** but a Trump-Xi summit is due next month with trade, Taiwan and Iran all on the agenda. The connection that matters: China buys more than 80% of Iran's shipped oil, and Bessent has said the US will enforce secondary measures against countries continuing to do business with Tehran. Today's sanctions package is therefore also a China story.

12 Overnight setup — what Asia opens into

INSTRUMENT	LEVEL	CHANGE	STATUS AT 05:07 GMT+8
ES / NQ	7,691.25 / 29,387.75	+0.38% / +0.30%	Friday settle. Globex shut; reopens 06:00.
YM / RTY	53,353 / 3,022.10	+0.95% / +0.76%	Friday settle. No weekend price discovery.
USD/JPY	158.969	−0.00%	Live but ~7 minutes old; effectively Friday's level.
USD/KRW	1,385.29	−0.63%	Change is Friday's session, not this morning's.
USD/TWD	31.7666	−0.16%	As above — treat as Friday's close.
USD/CNH	6.7169	−0.01%	Offshore yuan at the strong end of its 52-week range.
EUR/USD	1.1676	−0.00%	Range 1.1672-1.1676 confirms a dead tape.
Gold / Silver	\$4,603.01 / \$68.94	+1.87% / +1.30%	Friday settle. Gold at 95.3% of band.
Copper	\$6.5366	+1.48%	Friday settle. 31.9% of a band that narrowed sharply.
WTI / Brent	\$87.06 / \$94.39	+0.26% / +0.65%	Friday settle. Sanctions announcement due today.
Bitcoin	\$77,655.38	+0.77%	Genuinely live. Held the breakout across the weekend.
Ether	\$2,462.49	+1.63%	Genuinely live. Outperforming Bitcoin overnight.

Volumes are not shown for the futures rows because no overnight session had taken place at capture; Friday's Globex volumes would be misleading in a column headed "overnight".

- **The US hands Asia a rotation, not a direction.** Materials, health care and financials led; technology was effectively flat and semiconductors fell. For Seoul and Taipei — where the index is the semiconductor complex — that is the least useful handover possible. The KOSPI closed Friday at 6,912.96, up 0.88%; the Nikkei fell 0.30% to 66,016.14; the Hang Seng rose 1.21% to 26,009.46; the ASX 200 fell 0.27%. All are previous closes.
- **The single instrument most likely to move is the KOSPI, and the level is 7,000.** McCullough said explicitly that a move above 7,000 could produce a significant semiconductor move into Nvidia's earnings, and that the KOSPI had already broken out above the 6,697 TRADE signal level. It closed 87.04 points — 1.26% — below the trigger. Seoul opens at 08:00 GMT+8 into a weekend Bloomberg report that Nvidia is raising server prices more than 15% on memory costs, which is unambiguously good news for Korean memory. The setup and the catalyst are aligned; the level is the test.
- **Japan reprices two things.** USD/JPY at 158.969 with a Bank of Japan September hike priced above 75%, and Tokyo CPI due Friday. Japan's Q2 GDP came in at +1.1% annualised against +2.0% expected, and July core CPI at 1.8%. A yen this weak with a hike this well priced is an unstable combination into a Jackson Hole week.
- **Taiwan and Korea both carry the tariff question now, not just the chip question.** The Section 301 forced-labour tariff architecture covers roughly 99.4% of US trade, and the weekend's Canadian escalation demonstrates the administration's willingness to move to 50% without a deal. Exporters across the region have to price a policy that has now been shown to escalate on a Friday night.
- **China opens into an Iran sanctions announcement aimed partly at it.** Beijing takes more than 80% of Iran's shipped oil and Washington has promised secondary enforcement. The Shanghai Composite closed at 3,905.20, up 0.04%, and USD/CNH is at the strong end of its range. The currency is where this will show first.

13 AI watch

- **The binding constraint has moved from compute to memory, and the market repriced it violently.** NAND contract prices rose 33-38% in Q1 2026 with Q2 projected up 70-75% quarter-on-quarter, and high-bandwidth memory is sold out through year-end. Micron cites a three-to-one HBM-to-DDR5 wafer conversion ratio — every wafer moved to HBM destroys three wafers of conventional DRAM supply. Micron's own commercial officer says customers now name DRAM as their primary constraint, ahead of power and data-centre capacity. Saturday's Bloomberg report on Nvidia raising server prices more than 15% is the same fact arriving on the income statement.
- **The memory names have already run and already given part of it back.** Year-to-date to 17 August: SanDisk +591%, Seagate +254%, Western Digital +196%. But SanDisk closed Friday at \$1,596.08 against \$1,778 on 17 August, Micron at \$966.78 against \$1,017, Western Digital at \$459.44 against \$540 — the group has surrendered 10-15% in a week and sits 23% to 43% below 52-week highs. This is the most violent two-way market in the index.
- **The capex numbers no longer fit inside cloud revenue.** UBS estimates hyperscaler capital spending at \$492bn in 2025 rising to roughly \$1.01trn in 2026 and \$1.45trn in 2027 — some \$4.1trn cumulatively across 2026-28 against \$1.29trn over the prior six years — with Amazon, Alphabet and Microsoft together spending approximately 102% of cloud revenue on capex in 2026. Moody's separately flags around \$662bn of signed-but-not-commenced data-centre lease commitments sitting off balance sheet under GAAP lease-commencement rules.
- **Capital, not models, was the story of the week.** Nvidia licensed Poolside's technology for \$6bn plus a \$1bn investment at a \$12bn pre-money, with roughly 109 employees taking Nvidia offers — a licence-and-acquihire rather than an acquisition. Broadcom is reported to be seeking more than \$60bn of debt for an AI chip financing package tied to Anthropic and others, potentially around \$100bn in total. No frontier-tier model launched in the 18-23 August window.
- **Regulation quietly bit on 2 August.** The EU AI Act's Article 50 transparency obligations took effect and the Commission's AI Office began enforcement the same day, though the high-risk obligations were postponed to December 2027 under the Digital Omnibus. California's SB 942 transparency act took effect the same day, against a December 2025 executive order seeking federal preemption of state AI laws.
- **Data-centre power has become an electoral problem.** PJM capacity prices went from \$28.92 per MW-day in 2024/25 to \$329.17 in 2026/27, with the June auction clearing at a record \$16.4bn; data centres drove 63% of the increase, worth \$9.3bn recovered from ratepayers in a single year. PJM filed a plan on 7 August requiring post-2027 data centres to bring their own supply. This is now the most likely source of a non-financial constraint on the buildout.

14 Beyond the markets

- **Japan alerted 37 million phones before the shaking arrived.** A magnitude 5.9 earthquake struck southern Ibaraki Prefecture at 02:00 on Sunday 23 August at 70km depth, registering lower-5 on the Japanese intensity scale in Tokyo's Adachi Ward and across Ibaraki, Saitama and Chiba. At least 37 people were injured; no tsunami. The Japan Meteorological Agency's 4,235-seismometer network detected the P-wave, computed the trajectory and pushed a simultaneous alert to roughly 37 million devices ahead of the S-waves. It is the largest working demonstration of earthquake early warning ever conducted, and the US West Coast's equivalent system has never been tested at that population scale.

- **Two independent teams concluded this summer that San Andreas risk is understated, and nobody covered it.** Research published in *JGR: Solid Earth* in June by Liliane Burkhard of the University of Bern with Hawai'i Mānoa, USGS Pasadena and Scripps modelled stress on the San Jacinto-San Bernardino section at 3.6 MPa — higher than at any point in their 1,000-year simulation — with the adjacent Mojave South section at 2.8 MPa. The concern is the configuration: it matches conditions historically associated with cross-gate ruptures at Cajon Pass, where the two faults converge to within about 1.5km and where I-15, Union Pacific freight rail, gas pipelines and fibre all run. Separately, San José State's Kim Blisniuk used beryllium-10 dating to reconstruct a 10,000-year slip record for the Santa Cruz Mountains section, finding no southward decline in slip rate — contradicting a standing assumption in the UCERF3 hazard model. **The Blisniuk work is unpublished and not peer-reviewed;** the USGS declined to comment for that reason. It is an input to California property insurance and catastrophe bond pricing, and it has had no market coverage at all.
- **New York has overtaken the Bay Area as the largest US tech talent market for the first time in the thirteen-year history of the CBRE study** — 394,300 jobs against 375,730, reported on 21 August. AI roles now account for roughly one third of all US tech job listings, up 45% year-on-year across the US and Canada. Both metros added more than 20,000 AI-specific roles since mid-2025; the swing came from New York finance-sector AI hiring set against Bay Area cuts.
- **The federal government ordered Colorado River Lower Basin cuts of 1.25 million acre-feet a year for two years,** with Arizona taking the largest share at roughly 760,000 acre-feet. It moved no market this week. It is a binding constraint on exactly the south-western states where data-centre siting has concentrated.

15 Appendix — stock cards

NVDA · NVIDIA

\$214.72 ▼ -0.98%

Cap \$5,196bn · 9.2% off 52w high · Hedgeye range ~213-230, TRADE ~212, TREND ~205 · **Earnings Wed 26 Aug, after the US close**

Closed \$1.72 above the bottom of its own risk range on the eve of the most consequential print of the quarter. Consensus is roughly \$92bn revenue and \$2.08 EPS, about 0.9% above the company's own guide, after four consecutive beats. Options price a move of \$313-316bn in market value. Saturday's Bloomberg report on 15%-plus server price rises makes gross margin the question, not revenue.

TSLA · TESLA

\$362.86 ▲ +5.14%

Cap \$1,433bn · 27.3% off 52w high · Volume 39% above three-month average

Nevada's robotaxi approval for Las Vegas gave Tesla the largest allocation by a wide margin, up to 5,000 vehicles, and the electric Semi got a European debut. The largest single contributor to consumer discretionary's 1.15% gain. Note the base: this is a 5% day in a stock still more than a quarter below its high.

ORCL · ORACLE

\$146.47 ▲ +3.10%

Cap \$422bn · **57.6% off 52w high** · S&P rating BBB-, one notch above junk

The largest drawdown of any major US technology name and the cleanest illustration of the AI financing problem. A \$638bn RPO backlog against -\$23.7bn of free cash flow, \$55.7bn of capex and \$124.7bn of non-current debt. Roughly half the backlog is estimated to be OpenAI, under a contract starting in 2027. Friday's bounce was off an 18 August report of a six-month delay to the \$165bn Project Jupiter pipeline.

MU · MICRON

\$966.78 ▼ -0.77%

Cap \$1,092bn · 23.0% off 52w high · Regained bullish TRADE and TREND on 20 Aug

Named by Hedgeye as one of the two largest positive S&P contributors on Thursday, then down on Friday — the whipsaw is the point. Has given back roughly 5% from \$1,017 on 17 August. If Bloomberg's Nvidia server-pricing report is right, Micron is the direct beneficiary and Seoul opens on it first.

META · META PLATFORMS

\$549.90 ▲ +0.75%

Cap \$1,401bn · **30.5% off 52w high** — worst of the Mag7

A California trial in which four states seek up to \$1.4trn in consumer-protection and COPPA penalties is the overhang, and the number is large enough to be a genuine tail risk rather than a headline. Rose with the tape on Friday but has not participated in the index's recovery to within 2% of its high.

XLV · HEALTH CARE SPDR

\$174.62 ▲ +1.29%

1.1% off 52w high · **82.8% of Hedgeye risk range 168-176** · Core Hedgeye long

Second strong session running after Wednesday's 3.5% gain, described as one of its best days ever against technology, as the most-consensus short healthcare basket ramped 6.4%. Now the most extended equity line on the risk-range sheet, in a band that tightened from 10 points wide to 8. A squeeze this far into its range has limited published room left.

XLU · UTILITIES SPDR

\$42.77 ▼ -2.28%

10.5% off 52w high — worst of the eleven sectors · Closed 2¢ off the session low

The clearest expression of the long-end problem. Fell 2.28% on a day the S&P rose 0.43%, with the 30-year within 6bp of a 19-year high. Complicating the simple bond-proxy read: PJM capacity prices have gone from \$28.92 to \$329.17 per MW-day, which is a revenue tailwind and a political liability at the same time.

SOX · PHILADELPHIA SEMICONDUCTOR

11,740.37 ▼ -0.51%

19.89% off 52w high · **16.1 points above a 20% bear market** · Closed at 34.8% of range

The only major index down on Friday and the single most important level in this document. A 0.14% decline puts the semiconductor complex formally into a bear market in the same week the S&P can make a new high on Hedgeye's own published range. Both cannot keep being true.

16 About this edition

- **Covers** — the US cash session of Friday 21 August as settled, Friday's after-hours tape, the full weekend news flow of 22-23 August, and the Hedgeye set published Friday. There was no overnight session: at 06:00 GMT+8 on a Monday, Globex reopens; this brief was captured at 05:07.
- **Captured** — a single window of **05:07:32-05:07:35 GMT+8**, 2.6 seconds, from TradingView (96 of 96 instruments). Yahoo aborted on a circuit breaker after five consecutive HTTP 429s, so the run is TradingView-single-sourced for machine reconciliation; independent human-source cross-checks are set out in §18.
- **Run note** — the task fired **53 minutes early**, at 05:07 rather than 06:00 GMT+8. The consequence is material and is not cosmetic: Globex had not reopened, so the Friday-settle-to-reopen gap that normally leads a Monday edition could not be captured at all.

- **Settled vs live** — cash equities, equity futures, Treasury yields and all commodities are **Friday 21 August settles**, 48 to 49 hours old. FX had traded for roughly seven minutes and is live but not yet meaningful. **Bitcoin and Ether are the only genuinely live rows in this document.**
- **Hedgeye edition** — full subscriber tier reached. The live risk-range set is the **Friday 21 August Early Look, "A Parable Of An Old Fisherman"**, by **Sam Rahman**, 19:36 GMT+8. Hedgeye does not publish at weekends and nothing has appeared in the feed since 05:42 GMT+8 Saturday. Tonight's Early Look supersedes it. Also read: the Thursday 20 August Early Look by Keith McCullough (used for the band-movement comparison), KM's Top 3 Things, the Friday Macro Show summary notes, the Macro Week Summary Notes, and the feed index.
- **Quad path** — **Quad 1 approaching** per the Friday Macro Show. **No explicitly printed US Quad path notation was visible in the material reached this run**, so no change is asserted; see §18.
- **Not available** — Yahoo Finance (rate-limited); the MOMO Tracker and Crypto Quant, both image-based with no extractable text; the full Macro Week Summary Notes, which sit behind a separate link; IGV, outside the capture universe; overnight futures volumes, because there was no overnight session.

17 Sources

Prices. TradingView scanner, one bulk query at 05:07:32–05:07:35 GMT+8, 96 instruments, covering cash indices, futures, Treasury yields, spot and futures commodities, FX, crypto, sector SPDRs and single stocks. Yahoo Finance was attempted concurrently and aborted at 05:07:35 on a rate-limit circuit breaker.

Hedgeye. app.hedgeye.com, logged-in feed, read between 05:10 and 05:25 GMT+8: the Early Look category page and the full feed index; the Early Looks of 21 August (Rahman) and 20 August (McCullough); KM's Top 3 Things of 21 August; The Macro Show summary notes of 21 August; the Macro Week Summary Notes of 21 August.

Macro and policy. S&P Global flash PMI release; US Treasury press release SB0607 of 19 August; July FOMC minutes; Federal Reserve Bank of Kansas City on the Jackson Hole symposium; with consensus, reaction and calendar detail from CNBC, Bloomberg, Newsquawk, Trading Economics and TradingKey.

Session narrative and single stocks. Associated Press index wire of 21 August; TheStreet live blog of 21 August; CNBC, Barron's, Investor's Business Daily, MarketWatch, Motley Fool and Vantage Markets, plus company disclosures for Oracle, Intel, SanDisk and Micron.

Commodities, geopolitics and AI. Newsquawk crude and Treasury settle wraps of 21 August; IEA and S&P Global on Gulf supply and war-risk insurance; CNN and Al Jazeera live blogs of 21–23 August on Iran; CNBC, Axios, NPR and NBC News of 22 August on the Canadian tariffs; Bloomberg of 22 August on Nvidia server pricing; Reuters, UBS, Moody's, CBRE, JGR: Solid Earth, the San Francisco Chronicle and Japan Times for sections 13 and 14.

18 Data-confidence

CROSS-CHECKS PASSED

- **Index arithmetic is self-consistent for every cash index printed.** S&P 500: 7,674.37 less 33.21 gives a prior close of 7,641.16, and $33.21 \div 7,641.16 = +0.4346\%$, matching the reported change to four decimals. The same identity closes exactly for the Nasdaq Composite ($26,180.4547 - 113.2891 = 26,067.1656$; $+0.4346\%$), the Dow ($53,277.01 - 517.80 = 52,759.21$; $+0.9814\%$), the Russell 2000 ($+0.8500\%$), the SOX (-0.5055%) and the VIX ($16.02 \rightarrow 15.14$; -5.4931%). No index row is internally inconsistent.
- **Futures bases against cash are all normal, which validates the Friday-settle reading.** ES settled 16.88 over the S&P cash close and RTY 4.23 over the Russell — both ordinary fair-value bases for the date. YM at +504 points tracks the Dow cash move of +517.80 to within 3%. Had any futures row been carrying a live weekend print, these bases would have dislocated. They did not, which is the arithmetic confirming that Globex was shut.
- **Two commodity rows were confirmed to the cent by an independent human source.** Newsquawk's Friday settle wrap gives WTI (V6) at \$87.06, up \$0.23, and Brent (V6) at \$94.39, up \$0.61. The TradingView capture returned \$87.06 ($+0.26\%$, $+\$0.23$) and \$94.39 ($+0.65\%$, $+\$0.61$). Exact agreement on both level and change from a source with no connection to the price capture.
- **The three headline index closes were confirmed by the Associated Press wire.** AP's "How major US stock indexes fared Friday 8/21/2026" gives the S&P at 7,674.37 ($+33.21$), the Dow at 53,277.01 ($+517.80$) and the Nasdaq at 26,180.45 ($+113.29$) — matching the capture exactly. Combined with Newsquawk on crude, this recovers genuine two-source validation on the five most important rows in the document despite the automated cross-check failing.
- **Reconciliation counts from capture.py: 0 matched within 5bp, 0 minor, 0 divergent, 57 single-sourced.** All pairs are single-sourced because Yahoo returned nothing. There are therefore **no divergent rows to resolve** — not because agreement was demonstrated, but because no second machine source ran. This is stated plainly rather than presented as a clean reconciliation.
- **Curve arithmetic checks.** 2s10s computes to +49.6bp from directly captured 2-year (4.240%) and 10-year (4.736%) yields, against McCullough's independently stated "+50bps wide" on Thursday morning. The 2-year is captured directly from TVC:US02Y, not inferred from Hedgeye's own spread — the circularity flagged in earlier editions does not apply here.
- **Risk-range positions were measured on the series Hedgeye names.** Gold, silver and copper on spot (TVC:GOLD, TVC:SILVER, OANDA:XCUUSD); crude and natural gas on the continuous contract (NYMEX:CL1!, NYMEX:NG1!). The correction is material: gold measured on COMEX futures at \$4,680.60 would sit at 88.7% of band rather than 95.3% on spot at \$4,603.01, and the gold basis this morning is \$77.60, or 1.7%.

KNOWN CONFLICTS AND WEAK MARKS

- **Gold and silver: an unresolved conflict, and the brief has chosen a side.** TheStreet's Friday live blog reported gold up 1.44% at \$4,637.10 and silver down 1.92% at \$69.42. The capture returned gold spot at \$4,603.01 up 1.87% and silver spot at \$68.94 up 1.30% — a \$34 gap on gold and an opposite sign on silver. The brief uses the captured settles because TheStreet's figures are intraday marks taken during the session and the direction conflict on silver is most likely a spot-versus-futures or timing artefact. **The silver direction should be treated as genuinely uncertain;** Hedgeye independently described a confirmed bullish silver TREND breakout on Friday morning, which supports the positive sign but is a signal statement, not a price.
- **The FX change column is the weakest data in the document.** FX reopened at 05:00 GMT+8 and was captured at 05:07 — roughly seven minutes of trading. EUR/USD's session range of 1.1672-1.1676 and USD/JPY's of 158.953-158.971 confirm a near-dead tape, so those changes are honest but meaningless. USD/KRW is the problem case: its reported -0.63% comes with a 1,379.90-1,393.94 range that is far too wide for seven minutes and is therefore Friday's session range. **The USD/KRW, USD/TWD and USD/CNH changes should be read as Friday's, not this morning's,** and are labelled that way in §1 and §12.
- **Single-stock percentage moves differ across vendors by up to 1.4 points.** TradingKey's movers pages list Tesla at +3.73% and Palantir at +3.80% for 21 August against the captured +5.14% and +3.44%. One source puts Oracle's close at \$146.70 against the captured \$146.47. These are snapshot and reference-price differences rather than errors; the brief uses the captured closes throughout for internal consistency, but a reader comparing against a vendor screen will see discrepancies of this order.
- **The SOX bear-market claim is precise and rests on one source's 52-week high.** The 16.1-point cushion is computed as 11,740.3736 less 80% of a 52-week high of 14,655.2865. Both figures come from the same TradingView capture, so the calculation is internally exact but externally unconfirmed. Independent reporting corroborates the framing — the index was described as under 1% above the 20% threshold from its June high — but not the specific 52-week high used. **Treat 16.1 points as accurate to roughly ±1%, i.e. the conclusion is robust and the decimal is not.**
- **Nvidia's consensus is quoted from secondary aggregators and they do not agree.** Revenue estimates found ranged from \$91.85bn to \$95bn and EPS from \$2.08 to \$2.09, with one low-quality source giving \$0.65-0.68 on an apparently different share basis. The brief uses roughly \$92bn and \$2.08 as the central estimates and flags that the dispersion is wider than a consensus figure normally implies.
- **Two market-moving weekend reports are explicitly unconfirmed by their own carriers.** Bloomberg's Nvidia server-pricing story of 22 August could not be immediately verified by Reuters, and Nvidia declined to comment. The Paramount-California Attorney General meeting is sourced to the New York Times with no confirmation from either party. Both are reported as claims, not facts, in §9.
- **The 2s10s comparison mixes a captured number with a quoted one.** The +49.6bp is Friday's close; McCullough's "+50bps" was stated Thursday morning. They are one session apart and the agreement, while reassuring, is not a same-moment reconciliation.

KNOWN GAPS

- **No Quad path notation was visible this run.** The Friday Macro Show refers to "growth acceleration and Quad 1 approaching", to three consecutive upcoming Quad 1 regimes for the Philippines and to Colombia approaching another Quad 2 quarter, but no explicit US Quad path in the standard notation appeared in any document reached. The US Monthly Quad Forecast sits inside the Macro Week Summary Notes behind a separate link that was not opened. **Absence of a printed Quad path is not evidence that the path is unchanged,** and no change — or absence of change — is asserted here.
- **The MOMO Tracker and Crypto Quant are image-based and their text could not be extracted.** Both were reached and both returned only headers, disclaimers and chart captions. The MOMO Tracker headline — "Major US Semis SNDK, MU and MRVL Led SPX" — is used, but the underlying momentum table is not available. Similarly, the Crypto Quant's Bitcoin figure of +6.4% is taken from its title only. **Absence of a Hedgeye position change in this brief is not evidence that none occurred;** two of the publications that would have carried one could not be read.
- **Yahoo Finance was unavailable for the entire run,** aborting after five consecutive HTTP 429s in 2.6 seconds. The cost is the loss of automated cross-checking on 57 instrument pairs and of multi-day daily bars for week-on-week context. Week-on-week figures quoted in this brief (S&P -1.4%, Dow -0.8%, Nasdaq -2.1%) therefore come from press reporting rather than from captured data.
- **IGV was not captured,** so no band position is computed for the tech-software line despite Hedgeye raising its ceiling from 106 to 107. It sits outside the capture universe.
- **Consensus figures could not be located** for Tuesday's Conference Board consumer confidence, Wednesday's durable goods and Q2 GDP revision, Thursday's initial claims, or the magnitude of Friday's payroll benchmark revision. §8 prints the prior where consensus is missing and says so.
- **No Reuters or AP article page was fetched directly.** Wire content reached this brief second-hand via CNN, Al Jazeera, Newsquawk, CNBC and search summaries; CNBC and NBC pages returned empty on direct fetch. The AP index figures in §18 came through an aggregated wire listing. Wire attributions throughout should be read as indirect.
- **Asian and European index levels in §12 are previous closes,** marked as such. No Asian cash market had opened at capture and none will for nearly three hours.
- **Friday after-hours earnings could not be confirmed either way.** No reports were found, but their absence is not established.

TIMING & UNVERIFIED

- **The capture window was 05:07:32-05:07:35 GMT+8 on Monday 24 August 2026 — 2.6 seconds.** Every price in this document comes from inside it. No top-up pass was required and no row carries a different capture time.
- **Almost everything here is stale by construction, and the staleness is large.** Cash equities settled at 04:00 GMT+8 Saturday, making them **49 hours old**. Futures settled at 05:00 GMT+8 Saturday, **48 hours old**. Commodities and Treasury yields are on the same clock. This is not a normal Monday edition in which futures are live and thin; it is an edition captured before the week began.

- **Globex reopened at 06:00 GMT+8, 53 minutes after capture.** By the time this is read, every futures, commodity and rate level in it has been superseded, and it will have been superseded by an opening print that has to absorb 50% Canadian tariffs already in force, an Iran sanctions announcement due today, and Bloomberg's Nvidia server-pricing report — none of which any price here reflects.
- **The Hedgeye risk ranges expire tonight.** The Friday 21 August set is carried forward across three sessions and is superseded by tonight's Early Look, due around 19:25–21:00 GMT+8. Every band position in \$4 is measured against ranges that are three calendar days old and were computed before the weekend's news.
- **Hedgeye's positioning as described is a Friday snapshot.** Maximum long-only exposure and 12 longs against 1 short were stated on Friday's Macro Show. Real-Time Alerts trade intraday and no weekend publication exists; the book may already differ.
- **Verify every price in this document against a live screen before acting on any of it.** Nothing here is a recommendation, and on this particular morning the levels are older and the unpriced news flow heavier than on any ordinary edition.